THE BANK OF AUGUSTA, PLAINTIFFS IN ERROR, *vs.* JOSEPH B. EARLE, DEFENDANT IN ERROR.

THE BANK OF THE UNITED STATES, PLAINTIFFS IN ERROR, *vs.* WILLIAM D. PRIMROSE, DEFENDANT IN ERROR.

THE NEW ORLEANS AND CARROLLTON RAILROAD COMPANY, PLAINTIFFS IN ERROR, *vs.* JOSEPH B. EARLE, DEFENDANT IN ERROR.

An action was instituted in the Circuit Court of the United States for the District of Alabama, by the Bank of Augusta, Georgia, against the defendant, a citizen of Alabama, on bills of exchange drawn at Mobile, Alabama, on New York, which had been protested for non-payment, and returned to Mobile. The bill was made and endorsed for the purpose of being discounted by the agent of the bank, who had funds in his hands belonging to the plaintiffs for the purpose of purchasing bills of exchange, which funds were derived from bills and notes discounted by the bank in Georgia. The bills were discounted by the agent of the bank, in Mobile, for the benefit of the bank, with their funds, to remit the said funds to the bank. The defendant defended the suit on the facts that the bank of Augusta is a corporation incorporated by an act of the legislature of Georgia, and have power such as is usually conferred on banking institutions, such as to purchase bills of exchange, &c. The Circuit Court held that the plaintiffs could not recover on the bills of exchange, and that the purchase of the bills by the agent of the plaintiffs were prohibited by the laws of Alabama, and gave judgment for the defendant. In the case of the Bank of the United States of Pennsylvania *vs.* Primrose, the plaintiffs, a corporation by virtue of a law of the state of Pennsylvania, authorized by its charter to sue and be sued in the name of the corporation, and to deal in bills of exchange, and composed of citizens of Pennsylvania, and of states of the United States, other than the state of Alabama, the agent of the bank resident in Mobile, and in possession of funds belonging to the bank, and intrusted with them for the sole purpose of purchasing bills of exchange; purchased a bill of exchange, and paid for the same in notes of the branch of the bank of Alabama, at Mobile. The bill was protested for non-payment, and a suit was instituted in the Circuit Court against the payee, the endorser of the bill. The question for the opinion of the Circuit Court was, whether the purchase of the bill of exchange by the bank of the United States was a valid contract, under the laws of Alabama. The Circuit Court decided that the contract was void, and gave judgment for the defendant. The case of the New Orleans and Carrollton Railroad Company *vs.* Joseph B. Earle, was similar to that of the Bank of Augusta *vs.* Joseph B. Earle. The Supreme Court reversed the judgment of the Circuit Court in the three cases; and held the contracts for the purchase of the bills valid; and that the plaintiffs acquired a legal title to the bills by the purchase.

In the case of the Bank of the United States *vs.* Deveaux, the Supreme Court decided, that in a question of jurisdiction they might look to the character of the persons composing a corporation; and if it appeared that they were citizens of another state, and the fact was set forth by proper averments, the corporation might sue in its corporate name in the Courts of the United States. But in that case the Court confined its decision, in express terms, to a question of jurisdiction; to a right to sue; and evidently went, even so far, with some hesitation. The propriety of that decision is fully assented to, and it has ever since been recognised as authority in this Court. But the principle has never been extended any farther than it was carried in that case; and has never been supposed to extend to contracts made by a corporation, especially in another sovereignty.

The nature and character of a corporation created by statute, and the extent of the powers which it may lawfully exercise, have upon several occasions been under consideration in this Court. The cases of Head and Amory *vs.* The Providence Insurance Company, 2 Cranch, 167; and the Dartmouth College *vs.* Woodward, 4 Wheaton, 636, cited.

Whenever a corporation makes a contract, it is the contract of the legal entity; of the artificial being created by the charter, and not the contract of the individual members. The only rights it can claim are the rights which are given to it in that character, and not the rights which belong to its members as citizens of a state.